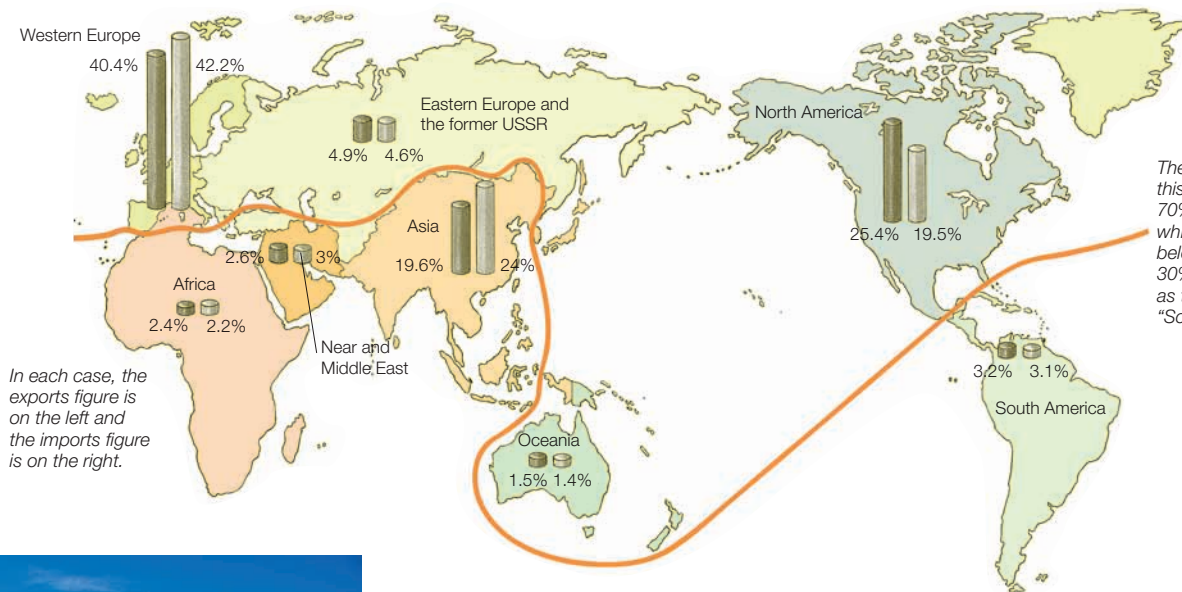


WORLD TRADE

TRADE BETWEEN THE COUNTRIES of the world allows each nation to specialize in the goods it produces best. A country will sell its products abroad to buy goods that are produced more cheaply elsewhere. Trade creates wealth and jobs by encouraging countries to produce goods that can be sold abroad, or exported. However, the benefits of trade are not evenly spread across all countries – some produce a range of goods much more cheaply than others, and these gain the most from trading. Today, much of world trade is controlled by about 200 multinational companies, which have offices and factories across the globe.

Percentages of world exports and imports by region



THE PACIFIC RIM

Over the last 20 years, the center of world trade has begun to shift from the U.S. and Europe to the U.S. and Asia, in particular those countries found around the edge of the Pacific Ocean, an area known as the Pacific Rim. Countries such as South Korea and Thailand, as well as the island states of Singapore and Taiwan, and the Chinese province of Hong Kong (above), have developed high-tech electronic industries, exporting their low-cost products around the world. Secure governments and encouragement of foreign investment have helped generate trade.

TRADING BLOCS

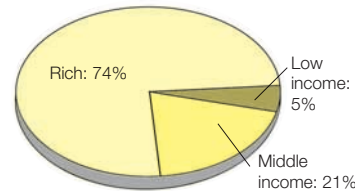
Some countries form alliances, or trading blocs, which give companies easier access to foreign markets and make it more profitable for them to trade with countries that are also members of the bloc. Countries may try and harmonize the rules that govern buying and selling so that foreign firms can trade on an equal footing with local companies. Some trading blocs, such as the European Union (EU), also have political functions, while others, such as the North American Free Trade Agreement (NAFTA), are concerned solely with the buying and selling of goods.



NORTH AMERICAN FREE TRADE AGREEMENT

The North American Free Trade Agreement (NAFTA) was created in 1994 and is an agreement between the U.S., Mexico (pictured), and Canada that removes many barriers to trade and investment between these countries. It is the largest free trade zone in the world, and there are plans to extend it to other countries on the American continent.

SHARE OF WORLD TRADE
The 23 richest countries in the world control 74 percent of all world trade. The 40 poorest countries, such as Haiti and Laos, control only 5 percent. The remaining 130 countries, such as the nations of eastern Europe and much of South America, control 21 percent.



NORTH AND SOUTH

As shown on the map, there is a clear divide in the share of world trade between the rich economies of the "North" and the poor economies of the "South." In order to prosper, a country needs to have a positive balance of trade, that is, earn more from exports than it spends on imports. Many nations have a negative balance of trade – importing more than they export. To improve their trade balance, many have grouped together to form regional trading blocs.